

INTELLIGENCE WARNING MEMO — AI COMPUTE DIVERSION (CHINA NEXUS)

Subject: The next significant AI-compute diversion / indirect-access / export-control circumvention story likely to emerge within 12 months **Focus:** Southeast Asia and Oceania (with global linkages where required) **Type:** Indicators & Warning (I&W) assessment — open-source-derived **As of:** 21 June 2026 · Horizon: through ~June 2027

Handling / reliability caveat. This is an *illustrative open-source analytic product*, not a classified or official intelligence document and not a legal determination. Every named company or individual below is referenced solely on the basis of *public reporting, charging documents, or government statements*; allegations described as "alleged," "reported," "under investigation," or "charged" are **unproven**, and several named parties (including Nvidia and Super Micro) have publicly denied wrongdoing or are not named defendants. Source reliability is mixed; key facts are attributed inline so the reader can weight them. Forecasts are probabilistic. Confidence reflects evidence quality and the strength of competing explanations, not certainty.

1. BOTTOM LINE UP FRONT (BLUF)

The center of gravity of China-nexus compute access is shifting **from physical chip smuggling toward remote/cloud access and ownership-obfuscation**, and the two vectors are now **converging in hybrid "neocloud" structures** built in Southeast Asia. The single most likely "next story" is a **major U.S. enforcement action or designation against a Southeast Asian cloud/colocation operator** — a Megaspeed-pattern entity — for giving Chinese-headquartered firms restricted compute via remote access rather than by exporting a single GPU.

A decisive regulatory inflection just occurred: **reported BIS guidance dated 31 May 2026** reframes the test from *where the hardware ships* to *who ultimately owns the buyer* — any firm whose ultimate parent sits in China or Macau reportedly now needs a license regardless of where its subsidiary is registered (indoneo.com, 31 May 2026; consistent with the documented BIS trajectory described by Morrison Foerster, Feb 2026). That change converts a year-long legal-gray channel into a prosecutable one. **The next 12 months will be defined by enforcement catching up to a model that was, until weeks ago, largely legal.**

Most likely jurisdiction to surface next: Malaysia and Singapore remain highest-probability, but **Indonesia is the most under-watched sleeper** and **Thailand's Eastern Economic Corridor is the fastest-rising anomaly.**

2. WHAT CHANGED — ANALYTIC BASELINE (so forecasts are anchored)

A reader returning to this file after a gap should understand four shifts since early 2025:

(a) **Policy whipsaw — looser at the front door, tighter at the side doors.** The Biden "AI Diffusion Framework" (Jan 2025) was rescinded by the Trump administration (May 2025). An Aug 2025 arrangement let Nvidia/AMD sell some China-bound chips with a U.S. revenue share; on 8 Dec 2025 the administration permitted sales of some chips to *approved* China customers, and on 13 Jan 2026 BIS moved H200-equivalent exports from "presumption of denial" to **case-by-case review** (Morrison Foerster; Security & Technology/IST). Yet enforcement *tightened* in parallel — BIS issued red-flag guidance on data-center and IaaS diversion, and on **31 May 2026** reportedly adopted the **ownership-based licensing test** above. Net: expanded licit trade has *increased*, not decreased, enforcement pressure (Morrison Foerster, Feb 2026).

(b) **Enforcement went criminal and reached the boardroom.** Recent U.S. actions include **Operation Gatekeeper** (DOJ, 8 Dec 2025; a network moving $\geq$ \$160M in AI chips to China/Hong Kong); the **Super Micro / Liaw indictment** (arrest 19 Mar 2026; alleged \$2.5B in Nvidia-equipped servers routed via Taiwan and Southeast Asian intermediaries incl. Malaysia/Singapore; the firm itself **not** a defendant; Nvidia distanced itself); the **Applied Materials \$252M settlement** (12 Feb 2026, second-largest in BIS history); a Florida front company (Nov 2025); a Thailand-based front company indictment (Mar 2026); and the **Zheng/Kelly/English** matter (~750 servers, ~\$170M, false end-use certifications, arrests Mar 2026). Sources: DOJ via FDD (20 Mar 2026), Alvarez & Marsal (Apr 2026), Fortune (13 May 2026), East Asia Forum (Mar 2026).

(c) **Congress is building a "cradle-to-grave" oversight architecture.** The **Remote Access Security Act** (H.R. 2683) passed the House **369-22 on ~12 Jan 2026**, extending export-control reach to *remote/cloud access* (Tom's Hardware; eeNews; Asia Times). The **Chip Security Act** cleared House Foreign Affairs **42-0 on 26 Mar 2026** (hardware location-verification / "ping" mechanisms; Senate companion by Sen. Cotton). Related vehicles advancing: the **AI Overwatch Act** (congressional veto over licenses, 42-2 in Jan 2026), **MATCH Act** (allied coordination; DUV lithography), **GAIN AI Act** (prioritize U.S. customers), and **BIS STRENGTH Act**. BIS's FY2026 budget rose ~23% (Morrison Foerster; Legis1; A&M). The **Entity List "Affiliates Rule"** (50% rule) is **suspended until 10 Nov 2026** — a window that itself shapes near-term behavior (Data Center Knowledge, Feb 2026).

(d) **Demand is structural and the buildout is regionally lopsided.** Southeast Asia hosts 2,000+ data centers with hundreds more under construction; regional DC investment could reach ~\$30B by 2030 (Turner & Townsend / U.S.-ASEAN Business Council via DigitalInAsia, May 2026). Chinese firms are now *matching* Western hyperscaler investment in several of these markets. China's share of global AI token usage reportedly rose from

~1% (2025) to ~30% (2026) (FDD Action, Apr 2026) — i.e., whatever the access pathway, Chinese model deployment is scaling fast.

3. CENTRAL DETERMINATION — IS COMPUTE ACCESS NOW THE BIGGER CHALLENGE THAN PHYSICAL DIVERSION?

Judgment: Yes, structurally — though physical smuggling remains the easier prosecution and the two are merging. (Confidence: Moderate-High.)

- **Physical diversion** (smuggling, re-export, false end-use) is where prosecutions are cleanest because it produces unambiguous Export Control Reform Act violations and tangible evidence (shipment records, sealed crates, falsified certifications). It will continue to generate the *most indictments* in the near term (Super Micro, Gatekeeper, the Alabama→Malaysia/Thailand A100 network reported by The Economy, Dec 2025).
 - **Compute access** is the larger *structural* problem because, until the 31 May 2026 ownership test, it was **largely legal**: a Chinese-headquartered firm could rent restricted Nvidia capacity hosted in a Tier-2 country, or buy chips through a locally registered subsidiary, without clearly breaching U.S. rules. Documented patterns:
 - **ByteDance** reportedly budgeted ~\$7B for cloud-based GPU access (of a >\$20B AI-infrastructure plan), renting Hopper/Blackwell capacity offshore — including from Oracle (reported June 2024) and, per March 2026 reporting, ~36,000 Blackwell GPUs via Malaysian cloud operator **Aolani**, a deal Nvidia stated was consistent with export rules (Tom's Hardware; The Information; wccftech).
 - **INF Tech** (Shanghai) allegedly obtained access to ~2,300 banned Nvidia GB200 (Blackwell) GPUs — 32 servers, ~\$100M — by renting from an **Indonesian telecom**, reportedly *after* securing the Chinese customer (WSJ via Tom's Hardware, Jan 2026).
 - **Megaspeed** (see §5/§8) embodies the **hybrid**: physical chips lawfully imported into Malaysia/Indonesia, then used to *remotely serve Chinese clients* (reportedly including Alibaba), with onward physical transshipment also under examination (NYT Oct 2025; Bloomberg/Reuters Dec 2025).
 - **Why this matters for warning**: remote access is scalable, lower-signature, and harder to detect than crates of GPUs; it shifts the enforcement burden onto **end-user verification, KYC, access logging, and beneficial-ownership tracing** rather than customs. The most consequential near-term stories therefore live **at the convergence** — entities that both host physical clusters *and* sell remote access, under opaque ownership.
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4. INTELLIGENCE PRIORITY QUESTIONS — DIRECT ANSWERS

IPQ 1 — Strongest indicators of indirect (third-country) access rather than direct chip acquisition: (1) Customs data showing a single locally registered entity importing GPU volumes *grossly disproportionate* to plausible local demand (Megaspeed: reportedly \$2B-\$4.6B / 100,000+ GPUs through a Malaysian subsidiary per NYT/Bloomberg); (2) data-center sites with *minimal operational footprint* (near-empty offices, GPUs found **sealed in crates** during a BIS inspection) yet large power allocations; (3) neocloud customer rosters or financing that trace to Chinese parents/holding companies; (4) procurement through **U.S.-registered subsidiaries of blacklisted Chinese firms** (e.g., Aivres, the California arm of Inspur, per NYT) that can lawfully buy and resell; (5) "hard-drive tourism" — engineers physically carrying data to offshore compute (WSJ on Malaysia, June 2025).

IPQ 2 — Most likely next focus of U.S. enforcement: Malaysia and Singapore (active cases, the densest Chinese-linked DC capacity, and now directly exposed by the ownership test), with **Indonesia** and **Thailand** rising fast. See ranking in §5.

IPQ 3 — Business models creating the greatest risk: (a) "Neoclouds" / GPU-as-a-service in Tier-2 jurisdictions selling remote access; (b) **colocation/wholesale operators** leasing power+space to opaque tenants without end-user controls; (c) **third-country subsidiaries** of Chinese cloud/AI firms; (d) **U.S.-entity-of-a-blacklisted-parent** procurement channels; (e) **sovereign-AI / university-partnership** vehicles that normalize large clusters with weak end-use scrutiny.

IPQ 4 — Trends suggesting a story within 12 months: the 31 May ownership rule criminalizing previously-gray deals; an Affiliates-Rule reinstatement on 10 Nov 2026; Megaspeed's investigations maturing; Singapore's Aperia/Dell prosecution heading toward trial (PTC adjourned to 22 May 2026); and disproportionate Chinese-built capacity in Thailand's EEC and Indonesia's Batam/Nongsa.

IPQ 5 — Overlooked evidence available today: Indonesian and Malaysian customs/import records (the Bloomberg Megaspeed reporting shows their analytic value); **power-allocation reassignments** by wholesale operators (Bridge Data Centers reallocating ~65 MW away from Megaspeed is a public, machine-readable signal of a compliance problem); **investor-deck imagery** (a Megaspeed rendering reportedly resembled a Shanghai-area site); and the **gap between national-security screening and data-privacy regimes** — Chinese-owned clouds in Singapore/Malaysia can host Western customers' data, which export controls do not govern (indoneo.com).

5. COUNTRY RISK RANKING

Likelihood of featuring in a major AI-compute enforcement action, investigation, sanctions designation, or marquee investigative report within ~12 months. Scores are 1-10 (relative,

not absolute).

Rank	Country	Risk	Confidence	Key indicators	Most likely trigger event
1	Malaysia	9.0	High	~3 GW of critical IT capacity being built in a few years (SemiAnalysis); Johor ~500 MW live; Megaspeed/Speedmatrix sites; Super Micro routing alleged here; July 2025 chip-transfer permit regime now being tested; MITI probe (June 2025); WSJ "hard-drive" report	A BIS/DOJ action or designation against a Malaysia-hosted neocloud/colocation tenant; first enforcement <i>under</i> Malaysia's own permit regime
2	Singapore	8.5	High	Aperia/Dell prosecution (4+ charged; PTC 22 May 2026); 9 arrested Feb 2025; ~one-fifth of Nvidia <i>billing</i> booked to Singapore (Asia Times) though Nvidia attributes most to customers HQ'd elsewhere; Megaspeed's HQ of record; finance/corporate-formation hub	A conviction in the Aperia case; formal Megaspeed charges; a Commerce/Treasury action naming a Singapore-registered entity
3	Thailand	7.5	Moderate-High	EEC (Chonburi/Rayong) Chinese-built clusters — Galaxy/Hoyinn (~\$2B Rayong), Haoyang (300 MW), ZData, Stratus; ByteDance's \$8.8B SEA pledge centered here; BOI approved ~\$9.9B across 36 projects H1 2025; March 2026 Thailand front-company indictment	A marquee investigation (NYT/Bloomberg-style) or BIS action into a Chinese-owned Rayong/Chonburi facility; a congressional letter on EEC capacity
4	Indonesia	7.0	Moderate	Most under-watched. Batam/Nongsa SEZ (0% corp tax 10 yrs; 100% foreign ownership; 221 MW Nongsa campus; Nongsa-Changi	A remote-access/neocloud case surfacing (INF Tech follow-through); customs-data

Rank	Country	Risk	Confidence	Key indicators	Most likely trigger event
				cable); INF Tech's GB200 access via an Indonesian telco; Megaspeed facilities; weakest ownership-transparency among the four	investigation; a designation touching a Batam operator
5	Vietnam	5.0	Low-Moderate	100% foreign DC ownership since July 2024; new standalone AI Law (Dec 2025); fast, less-scrutinized growth; positioned for overflow demand	An investigative report flagging Vietnam as the next overflow hub; a single anomalous import/financing event
6	Philippines	4.5	Low-Moderate	Cited as a SEA rental destination for Chinese firms (wccftech); growing but thinner public evidence	A reported rental/colocation arrangement serving Chinese clients
7	Australia	4.0	Moderate	Different risk type. Tier-1 ally with strong FIRB/SOCI and March 2026 "Expectations"; Microsoft A\$25B; ranked #2 globally for DC investment (2024). Diversion risk low ; ownership-transparency / critical-infrastructure / concentration risk non-trivial	A foreign-investment-screening action or a transparency dispute over a data-center owner; a Pacific node — not classic diversion
8	Pacific Island states (e.g., PNG, Fiji)	2.5	Low	Weak regulatory capacity; established Chinese digital-infrastructure footprint; little evidence of <i>AI-compute</i> activity specifically	A long-horizon watch item; a Chinese-financed connectivity/DC project raising sovereignty questions (>12 months more likely)

6. ANOMALY DETECTION — INFRASTRUCTURE DISPROPORTIONATE TO DEMAND

Flagging where buildout, imports, or corporate activity appear out of proportion to local end-use:

- **Single-entity GPU import concentration (Malaysia/Indonesia).** A 2023-vintage firm reportedly importing \$2B-\$4.6B / 100,000+ Nvidia GPUs through a Malaysian subsidiary, with a near-empty office and a small storefront, is the textbook anomaly (NYT/Bloomberg). Replicable via **ImportGenius-type customs analytics** — which is precisely how this surfaced.
- **Sealed-crate clusters.** GPUs/servers found **still boxed** during inspection signal capacity not being used locally — a pre-positioning/diversion red flag (NYT).
- **Power-allocation reassignments.** A wholesale operator pulling ~65 MW from one tenant and reassigning it (Bridge Data Centers → Zenplayer) is a public signal of a compliance problem; lender memos and grid filings make these traceable.
- **Thailand EEC concentration.** Multiple **Chinese-owned hyperscale campuses in Rayong/Chonburi** (Galaxy/Hoyinn, Haoyang 300 MW, ZData) plus ByteDance — a buildout that appears large relative to Thai *domestic* AI demand and oriented toward export/regional service.
- **SEZ ownership opacity (Indonesia).** Batam/Nongsa's 0%-tax, 100%-foreign-ownership, fast-licensing regime is optimized for capital speed and **light beneficial-ownership disclosure** — attractive for structures designed to obscure ultimate control.
- **Billing-vs-delivery mismatch (Singapore).** A large share of Nvidia revenue **billed** to Singapore while product is attributed to customers headquartered elsewhere is not itself wrongdoing, but the gap is an enduring transparency anomaly worth periodic re-baselining.
- **Financing scale.** A suspect neocloud reportedly seeking ~\$6B for **Thailand expansion** and ~\$5B in **Malaysia loans** (Tom's Hardware) indicates capital markets are funding the very buildout that creates diversion surface — a venture/credit-side signal usually missed by export-control watchers.

7. RED-TEAM ASSESSMENT — ENFORCEMENT BLIND SPOTS (defensive, strategic only)

Adopting an adversary's strategic logic to expose gaps. No operational guidance is provided; everything below is inferable from public cases and is intended to direct defensive

collection.

Jurisdictions that appear attractive (and why defenders should watch them): Tier-2 states with **fast capital onboarding, generous SEZ incentives, light beneficial-ownership disclosure, and immature end-use verification** — most acutely **Indonesia (Batam/Nongsa)**, secondarily **Thailand's EEC** and **Vietnam**. Singapore and Malaysia remain attractive for *financial and corporate-formation* respectability even as their *operational* scrutiny rises.

Business structures that appear attractive: (1) the **neocloud / GPU-as-a-service** model, which monetizes access rather than *export*, sidestepping the historical hardware-shipment trigger; (2) **third-country subsidiaries** that localize the purchase order; (3) **U.S.-registered entities of blacklisted parents** to source chips lawfully; (4) **colocation tenancy** under operators who lease power and space without policing tenant end-users.

Partnerships that appear attractive: sovereign-AI and university/research collaborations (which legitimize large clusters and weak end-use review), **local telecoms** (compute + connectivity + political cover), and **Western-backed wholesale landlords** whose due diligence historically stopped at the tenant, not the tenant's customers.

Emerging vulnerabilities in current enforcement: (a) the **national-security / data-privacy seam** — controls govern *where GPUs go*, not *whose data runs on them*, so a Chinese-owned offshore cloud can host Western customer data outside both regimes; (b) **extraterritorial reliance** — Washington's licensing authority is doing nearly all the work because neither Singapore nor Malaysia imposes ownership-based restrictions, so a single non-cooperative host jurisdiction can blunt the regime; (c) the **Affiliates-Rule suspension window** (until 10 Nov 2026), during which non-listed affiliates of listed entities face lighter constraints; (d) **verification lag** — until hardware location-verification ("ping") and binding IaaS-KYC rules are *enacted and operative*, detection depends on after-the-fact customs analytics and tips.

8. INDICATORS & WARNING MATRIX (key forecasts)

Forecast A — A Megaspeed-pattern neocloud is formally charged or designated for providing Chinese entities restricted compute via remote access.

- **Confidence:** High · **Timeframe:** 3–6 months (action) / 0–3 months (additional reporting)
- **Evidence:** Active U.S. + Singapore investigations into Megaspeed; the 31 May ownership test removes the legality defense; Sen. Cotton's referral; Bridge's tenant removal.

- **Alternative explanation:** Authorities keep the matter civil/administrative or let the firm quietly wind down (it reportedly ceased purchases and its CEO departed), avoiding a marquee prosecution.
- **Leading indicators:** New customs-data investigations; additional wholesale operators dropping tenants; further Congressional letters.
- **Confirmation indicators:** An unsealed indictment / Entity List addition / BIS charging letter naming a SEA cloud operator.
- **Disconfirmation indicators:** BIS publicly clears the model as "ordinary commercial cloud"; no charges by Q4 2026.

Forecast B — Indonesia (Batam/Nongsa or an Indonesian telco) surfaces publicly as a remote-access hub for Chinese AI firms.

- **Confidence:** Medium-High · **Timeframe:** 3–9 months
- **Evidence:** INF Tech's GB200 access via an Indonesian telco; Megaspeed's Indonesian facilities; SEZ incentives optimized for opacity; least U.S. attention to date.
- **Alternative explanation:** Activity migrates to Vietnam/Philippines first; Indonesia's growth stays genuinely domestic/sovereign (BDx, Indosat–Nvidia).
- **Leading indicators:** Customs-data stories on Indonesian GPU imports; foreign-press site visits to Batam.
- **Confirmation indicators:** A named enforcement action or tier-1 investigation centered on an Indonesian operator/telco.
- **Disconfirmation indicators:** Indonesian regulators pre-empt with credible KYC/ownership rules; no reporting emerges.

Forecast C — Escalation around the "U.S.-subsidiary-of-a-blacklisted-parent" channel (Aivres/Inspur pattern), incl. an Affiliates-Rule reinstatement wave.

- **Confidence:** Medium-High · **Timeframe:** 6–12 months (anchored to the 10 Nov 2026 Affiliates-Rule resumption)
- **Evidence:** NYT linkage of Megaspeed sourcing to Inspur's U.S. arm; BIS's stated intent to evaluate non-listed affiliates during suspension.
- **Alternative explanation:** The rule is suspended again or narrowed under commercial/diplomatic pressure ahead of U.S.–China engagement.
- **Leading indicators:** BIS guidance on affiliate diligence; new entity-list nominations.
- **Confirmation indicators:** Affiliates Rule reinstated on schedule; designations of U.S. entities tied to listed Chinese parents.
- **Disconfirmation indicators:** Another suspension; no new affiliate designations.

Forecast D — A Chinese-owned hyperscale cluster in Thailand's EEC becomes the subject of a diversion/remote-access inquiry or Congressional attention.

- **Confidence:** Medium · **Timeframe:** 6–12 months
- **Evidence:** Concentrated Chinese-owned Rayong/Chonburi capacity; ByteDance centrality; March 2026 Thailand front-company indictment shows Thailand is already in scope.
- **Alternative explanation:** Thai capacity is absorbed by legitimate regional/hyperscaler demand; scrutiny stays on Malaysia/Singapore.
- **Leading indicators:** BOI approval disclosures for additional Chinese-owned campuses; power-procurement filings.
- **Confirmation indicators:** A BIS action, a named investigation, or a Select-Committee letter referencing an EEC facility.
- **Disconfirmation indicators:** Thai regulators tighten end-use rules; no targeting materializes.

Forecast E — The cloud/remote-access channel is formally closed (RASA enacted or a binding BIS IaaS-KYC rule), triggering a compliance scramble and first enforcement.

- **Confidence:** Medium · **Timeframe:** 6–12 months
 - **Evidence:** RASA passed the House 369–22; BIS already signaling IaaS KYC; bipartisan momentum.
 - **Alternative explanation:** Senate stalls amid hyperscaler lobbying and trade-talk sensitivities; the channel stays governed only by interpretive guidance.
 - **Leading indicators:** Senate markup of RASA; a published BIS IaaS proposed rule.
 - **Confirmation indicators:** Enactment/effective rule; first remote-access enforcement matter.
 - **Disconfirmation indicators:** No Senate floor action through 2026.
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9. THE FIVE MOST LIKELY NEXT STORIES

Story 1 — "The neocloud is the new smuggling ring."

What: A Southeast Asian cloud/colocation operator is **charged or designated** for selling Chinese-headquartered firms remote access to restricted Nvidia compute (Megaspeed archetype). **Why it matters:** It reframes export-control enforcement around *access and ownership*, not shipment — and validates that the 31 May ownership rule has teeth.

Evidence visible now: Megaspeed's twin U.S./Singapore investigations; Cotton referral; Bridge's tenant removal; the new licensing test. **Probability:** ~70% · **Confidence:** High.

Watch: Customs-data investigations; wholesale-operator tenant terminations; unsealed indictments. **Trigger into public view:** An indictment, Entity-List addition, or BIS charging letter naming a SEA cloud firm.

Story 2 — "Indonesia: the soft underbelly nobody was watching."

What: Batam/Nongsa — or an Indonesian telecom — is exposed as a remote-access hub for Chinese AI firms, catching a policy community fixated on Malaysia/Singapore off guard.

Why it matters: Demonstrates displacement to the *least-scrutinized* SEZ with the lightest ownership disclosure. **Evidence visible now:** INF Tech's GB200 access via an Indonesian telco; Megaspeed's Indonesian sites; SEZ incentive structure. **Probability:** ~55% ·

Confidence: Medium-High. **Watch:** Indonesian GPU import data; foreign-press site reporting in Batam. **Trigger:** A named investigation/enforcement action or marquee exposé centered on Indonesia.

Story 3 — "The lawful side door: U.S. arms of blacklisted Chinese firms."

What: Escalation against the **Aivres/Inspur-pattern** — U.S.-registered subsidiaries lawfully buying chips and routing them to affiliated offshore clouds — culminating in designations and a wave when the **Affiliates Rule resumes 10 Nov 2026**. **Why it matters:** Closes one of the largest documented loopholes (separating a U.S. entity from its

blacklisted parent). **Evidence visible now:** NYT's Megaspeed→Aivres→Inspur linkage; BIS's stated intent to scrutinize affiliates during suspension. **Probability:** ~50% ·

Confidence: Medium-High. **Watch:** BIS affiliate-diligence guidance; entity-list nominations; the Nov 10 resumption date. **Trigger:** Affiliates Rule reinstated on schedule; a U.S.-entity designation.

Story 4 — "Thailand's Eastern Seaboard goes from boomtown to flashpoint."

What: A Chinese-owned hyperscale cluster in Rayong/Chonburi draws a diversion/remote-access investigation or Select-Committee letter, with the buildout-vs-domestic-demand gap as the hook. **Why it matters:** Extends the SEA story to the region's fastest-growing — and heavily Chinese-funded — corridor. **Evidence visible now:** Galaxy/Hoyinn, Haoyang, ZData, Stratus in Rayong; ByteDance's \$8.8B SEA pledge; the March 2026 Thai front-company case. **Probability:** ~40% · **Confidence:** Medium. **Watch:** New BOI approvals for Chinese-owned campuses; EEC power-procurement filings. **Trigger:** A BIS action, named investigation, or Congressional letter referencing an EEC facility.

Story 5 — "Washington extends the wall to the cloud — and someone gets caught."

What: RASA is enacted (or BIS issues a binding IaaS-KYC rule), triggering a compliance scramble among cloud providers and the **first remote-access enforcement** matter. **Why it matters:** Converts the largest structural gap (legal remote access) into an enforced control and tests hyperscaler compliance. **Evidence visible now:** RASA's 369-22 House passage; BIS IaaS signaling; the documented ByteDance/Tencent rental pattern. **Probability:** ~40% ·

Confidence: Medium. **Watch:** Senate markup of RASA; a published BIS IaaS proposed rule; hyperscaler lobbying disclosures. **Trigger:** Enactment/effective rule, followed by the first cloud-access action.

10. COLLECTION & MONITORING PRIORITIES

1. **Customs/trade analytics** (ImportGenius-type) on GPU flows into Malaysia, Indonesia, Thailand, Vietnam — flag single-entity concentration and entity vintage (<3 yrs).
 2. **Power-allocation & lender filings** of wholesale operators (Bridge/AirTrunk/Yondr/Princeton-class) for **tenant reassignments** as a compliance tell.
 3. **Beneficial-ownership tracing** of SEA neoclouds back to Chinese parents/holding structures; cross-reference investor decks and site imagery.
 4. **Legislative tracker:** Senate action on RASA; BIS IaaS-KYC and chip location-verification rulemakings; the **10 Nov 2026 Affiliates-Rule** resumption.
 5. **Case dockets:** Singapore Aperia/Dell (PTC 22 May 2026); any Megaspeed charging activity; new DOJ/BIS SEA indictments.
 6. **Oceania:** FIRB/SOCI actions on data-center ownership; Pacific Chinese-financed connectivity/DC projects (long-horizon).
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11. ANALYTIC CONFIDENCE & CAVEATS

- **Highest-confidence judgments:** the policy/enforcement baseline (§2), the convergence thesis (§3), and the Malaysia/Singapore primacy (§5) — corroborated across tier-1 outlets, law-firm advisories, think tanks, and government/court records.
- **Moderate-confidence:** the Indonesia-sleeper and Thailand-EEC forecasts — strong structural logic, thinner *enforcement* evidence to date.
- **Lower-confidence / watch-only:** Oceania beyond Australia; specific timing within the 0-12 month bands.
- **Key uncertainties that could move everything:** U.S.-China summit dynamics (a deal could *soften* enforcement appetite even as Congress pushes the other way); Beijing's own discouragement of Nvidia purchases in favor of domestic Huawei Ascend (which could *reduce* demand for the diversion channels described here); and whether the 31 May ownership guidance survives intact in primary BIS text. **Primary-source confirmation of the 31 May 2026 BIS guidance against the Federal Register / BIS site is recommended before operational reliance.**

- **Reminder:** named-party allegations are unproven; this product identifies *risk and likelihood*, not culpability.
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Prepared as an open-source I&W exercise. Sourcing is attributed inline; where outlets conflict (e.g., Megaspeed import totals of ~\$2B vs. ~\$4.6B), ranges are given. Re-baseline on any of the §10 triggers.